

Age Band	Median Gross (£)	Income Tax (£)	NI (£)
18-21	£21,500	£614	£1,786
22-29	£28,800	£1,354	£3,246
30-39	£36,200	£2,874	£4,726
40-49	£39,500	£3,614	£5,386
50-59	£37,400	£3,334	£4,966
60+	£31,000	£2,114	£3,686

Take-Home (£)	Monthly Net (£)	Suggested Save Rate	Monthly Saving (£)
£19,100	£1,592	10.0%	£159
£24,200	£2,017	10.0%	£202
£28,600	£2,383	15.0%	£358
£30,500	£2,542	15.0%	£381
£29,100	£2,425	10.0%	£243
£25,200	£2,100	10.0%	£210

Monthly Remaining (£)
£1,433
£1,815
£2,026
£2,160
£2,183
£1,890

COMPOUND GROWTH CALCULATOR

Monthly Contribution (£) 200
Annual Return (%) 7.5%
Annual Contribution Growth 2.0%

Year	Annual Contribution (£)	Opening Balance (£)
1	£2,400	£0
2	£2,448	£2,580
3	£2,497	£5,405
4	£2,547	£8,495
5	£2,598	£11,870
6	£2,650	£15,553
7	£2,703	£19,568
8	£2,757	£23,941
9	£2,812	£28,700
10	£2,868	£33,875
11	£2,926	£39,499
12	£2,984	£45,607
13	£3,044	£52,235
14	£3,105	£59,425
15	£3,167	£67,219
16	£3,230	£75,665
17	£3,295	£84,812
18	£3,361	£94,715
19	£3,428	£105,431
20	£3,496	£117,023
21	£3,566	£129,558
22	£3,638	£143,109
23	£3,710	£157,753
24	£3,785	£173,573
25	£3,860	£190,659
26	£3,937	£209,108
27	£4,016	£229,024
28	£4,097	£250,518
29	£4,178	£273,711
30	£4,262	£298,731
31	£4,347	£325,718
32	£4,434	£354,820
33	£4,523	£386,198
34	£4,613	£420,025
35	£4,706	£456,486
36	£4,800	£495,781
37	£4,896	£538,125
38	£4,994	£583,747
39	£5,094	£632,896
40	£5,195	£685,839

Growth Multiple

5.1x

Growth (£)	Closing Balance (£)	Total Contributed (£)
£180	£2,580	£2,400
£377	£5,405	£4,848
£593	£8,495	£7,345
£828	£11,870	£9,892
£1,085	£15,553	£12,490
£1,365	£19,568	£15,139
£1,670	£23,941	£17,842
£2,002	£28,700	£20,599
£2,363	£33,875	£23,411
£2,756	£39,499	£26,279
£3,182	£45,607	£29,205
£3,644	£52,235	£32,189
£4,146	£59,425	£35,233
£4,690	£67,219	£38,337
£5,279	£75,665	£41,504
£5,917	£84,812	£44,734
£6,608	£94,715	£48,029
£7,356	£105,431	£51,390
£8,164	£117,023	£54,817
£9,039	£129,558	£58,314
£9,984	£143,109	£61,880
£11,006	£157,753	£65,518
£12,110	£173,573	£69,228
£13,302	£190,659	£73,012
£14,589	£209,108	£76,873
£15,978	£229,024	£80,810
£17,478	£250,518	£84,826
£19,096	£273,711	£88,923
£20,842	£298,731	£93,101
£22,724	£325,718	£97,363
£24,755	£354,820	£101,711
£26,944	£386,198	£106,145
£29,304	£420,025	£110,668
£31,848	£456,486	£115,281
£34,589	£495,781	£119,987
£37,544	£538,125	£124,786
£40,727	£583,747	£129,682
£44,156	£632,896	£134,676
£47,849	£685,839	£139,769
£51,828	£742,862	£144,965

Asset Class	Expected Return	Volatility	Aggressive (18-30)
Global Equities	9.0%	15.5%	70.0%
UK Equities	7.5%	14.8%	15.0%
UK Property	6.5%	10.5%	10.0%
Corporate Bonds	5.2%	7.5%	5.0%
UK Gilts	4.0%	6.2%	0.0%
Cash	3.5%	0.8%	0.0%

TOTAL	100%
Portfolio Return	8.3%
Portfolio Volatility	14.5%

Growth (30-45)	Balanced (45-55)	Conservative (55+)
50.0%	35.0%	20.0%
15.0%	10.0%	5.0%
10.0%	10.0%	5.0%
15.0%	20.0%	25.0%
10.0%	20.0%	35.0%
0.0%	5.0%	10.0%
100%	100%	100%
7.5%	6.6%	5.6%
12.8%	10.7%	8.5%

HOW MUCH SHOULD YOU SAVE?

Based on UK median take-home pay by age bracket, 7.5% annual return, 30-year horizon

Age Band	Net Monthly (£)	5% Saving	10% Saving
18-21	£1,592	£99,884	£198,519
22-29	£2,017	£126,103	£252,207
30-39	£2,383	£148,577	£297,154
40-49	£2,542	£158,566	£317,131
50-59	£2,425	£151,074	£302,149
60+	£2,100	£131,098	£262,195

Note: Uses simplified FV formula. See Python script for Monte Carlo with volatility drag.

15% Saving	20% Saving	25% Saving
£298,403	£397,038	£496,922
£378,310	£503,165	£629,268
£445,732	£595,557	£744,134
£475,697	£634,262	£794,076
£454,471	£605,546	£756,620
£393,293	£524,390	£655,488

DAY TRADING vs PASSIVE INVESTING — 5-YEAR SIMULATION

Metric	Passive Index Fund	Day Trading
Starting Capital	£10,000	£10,000
Monthly Addition	£200	£0 (reinvested)
Total Invested	£22,000	£22,000
Median Outcome	£29,181	£14,248
Probability of Loss	~0%	~70%
Probability of Doubling	~28%	~8%
Worst 10% Outcome	£22,800	£1,200
Best 10% Outcome	£38,500	£45,000
Time Required (hrs/wk)	0.5	20-40
Skill Required	None	Top 5%
Tax Efficiency (ISA)	Yes	Complex
Emotional Stress	Low	Very High

CONCLUSION

Passive index investing beats day trading on 11 of 12 metrics. Day trading only wins which applies to roughly 5-10% of traders. The other 90% would have been better o

Difference	Verdict
—	Equal
—	—
—	Equal
£14,933	Passive wins
70pp	Passive wins
20pp	Passive wins
£21,600	Passive wins
£6,500	Day trade wins
20-40 hrs	Passive wins
—	Passive wins
—	Passive wins
—	Passive wins

s on best-case upside
 off doing nothing.

MARKET SCENARIO ANALYSIS — SHOULD YOU CARE?

Scenario	Probability	Equity Adj
Bull	25%	+3.0%
Base	55%	0.0%
Bear	20%	-3.5%

Expected Value (£300/mo, **195200**)

KEY INSIGHT FOR AVERAGE INVESTORS

Even in the bear case, £300/month for 20 years produces £138,000 from £72,000 c
That is still a 1.9x return. The worst realistic outcome still beats cash savings by a w
Professional investors obsess over bull/bear timing because they manage others' m
You are investing YOUR money over YOUR lifetime. Time horizon is your edge. Use

Bond Adj	20Y Median (£300/mo)	Description
+0.5%	£248,000	om, low inflation, strong growth
0.0%	£192,000	lerate growth, normalising rates
-1.0%	£138,000	cession, earnings compression

contributed.

vide margin.

money on short mandates.

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PRACTICAL ACTION PLAN BY AGE GROUP

Age Group	Priority Actions	Target Save Rate
18-21	Open S&S ISA, start workplace pension, build emergency fund (3 months expenses)	5-10%
22-29	Maximise employer pension match, increase ISA contributions, avoid lifestyle creep	10-15%
30-39	Review pension trajectory, consider LISA if buying first home, diversify	15-20%
40-49	Peak earning years. Catch up if behind. Check pension projections.	15-20%
50-59	Begin de-risking. Model retirement income. Consider annuity quotes.	10-15%
60+	Drawdown planning. Tax-efficient withdrawal. Estate planning.	Save if possible

Suggested Allocation	ISA Strategy
85% global equity, 10% property, 5% bonds	Max contribution to S&S ISA, global index tracker
80% equity, 10% property, 10% bonds	S&S ISA first, then SIPP if ISA maxed
65% equity, 10% property, 15% bonds, 10% gilts	Split between S&S ISA and pension top-up
55% equity, 10% property, 20% bonds, 15% gilts	Maximise ISA and pension allowances
40% equity, 5% property, 25% bonds, 25% gilts, 5% cash	Shift to income-focused funds
25% equity, 25% bonds, 35% gilts, 15% cash	Use ISA for tax-free drawdown